

CENTRAL BANK CONTROLS

Credit guidance

The central bank's control of commercial banks' licences helps it to influence how those banks lend. It can, for example, give them incentives to offer very low interest rates to important sectors of the economy.

Open market operations

The central bank buys and sells bonds in the open market to affect the short-term rates of interest.

Credit access

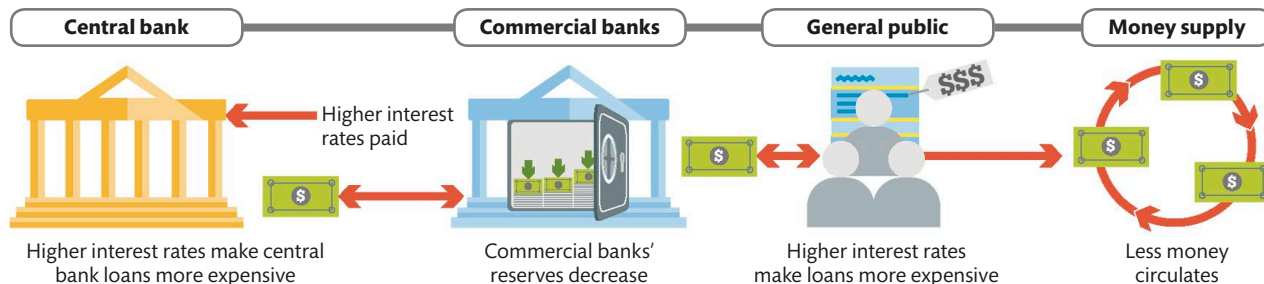
The central bank can restrict commercial banks' access to credit, for example by raising the amount of deposits they must hold as reserves.

1668
the year that the
oldest central bank
in the world, the
Swedish Riksbank,
was established

Decreasing money in circulation

Raising the reserve (base) rate of interest

The central bank can curtail commercial banks' lending to the public by raising its reserve rate of interest. This makes it more expensive for commercial banks to borrow from central bank reserves. Commercial banks in turn raise interest rates for borrowers.



Open market operations: selling bonds

The central bank sells bonds back to the market in exchange for money, causing investors to make withdrawals to buy the bonds, lowering the amount of money in the banking system. Commercial banks respond by raising interest rates.

